

# [COPY] SPX Delta Hedging 0DTE

why it matters and what you get in my Road Map 0DTE



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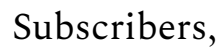
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## Explaining Delta Hedging and My Zero DTE Daily Roadmap to Substack  
Subscribers



If you want to understand what really moves the SPX intraday—especially on zero DTE (Zero Days to Expiration) options days—it's essential to grasp how  $\Delta$

hedging\*\* drives dealer flows. I rely on this concept every morning when I build my own roadmap and daily plan using advanced analytics tools (including OptionsDepth, among others).

### ### What Is Delta Hedging? (And Why It Matters)

- \*\*Delta hedging\*\* is the process by which market makers and dealers neutralize their directional risk from options trades. When a customer buys calls or puts, the dealer ends up with risk (delta). To manage that, they buy or sell the underlying asset—like S&P futures—so they aren't exposed if price moves sharply.

- These dealer \*\*hedging actions\*\* aren't just passive—they're big enough to actually move the market. If you can forecast where their flows will intensify, you get a real tactical trading edge.

### #### Two Key Phases in Dealer Hedging

#### 1. \*\*Initial Hedge:\*\*

Suppose someone buys 10 SPX call options (delta 0.3 each, so net +300 delta). The dealer sells those calls and immediately buys S&P futures to offset, going delta neutral.

This happens instantly.

#### 2. \*\*Ongoing Adjustments:\*\*

Throughout the day, delta changes as price moves, volatility varies, and time advances. Dealers rebalance continuously using models that include second-order Greeks (gamma, charm, vanna).

### ### My Morning Roadmap: Turning Mechanics Into Actionable Signals

#### - \*\*Step 1:\*\* \*Map Out Major Strikes and Open Interest\*

I identify where options exposure is concentrated for the day's expiration—big open interest, high gamma clusters.

#### - \*\*Step 2:\*\* \*Model Potential Dealer Flows\*

Using platforms like OptionsDepth, I estimate how price changes, volatility, and time could force dealers to adjust their hedges. This usually highlights "inflection zones"—price levels where buying or selling could ramp up fast.

#### - \*\*Step 3:\*\* \*Visualize Risk Zones\*

I create visual maps and bullet lists for subscribers each day, marking key strikes and the potential for dealer flows to accelerate or reverse.

#### - \*\*Step 4:\*\* \*Prepare Tactical Setups\*

My goal is not to “predict” every move ahead of time, but to \*\*leverage these flows as they happen\*\*. If price nears a high-risk dealer zone and hedging is likely to intensify, I position to trade in sync with those flows—sometimes with SPX options, sometimes directly with S&P futures.

> "Market makers don't just react—they actively drive price with their hedging flows. By following the mechanics and projecting risk zones, we can trade with—not against—the real forces in the market."

### For Substack Subscribers: How The Daily Plan Works

- You'll get actionable notes highlighting exactly where market forces—driven by dealer hedging—are likely to impact the market.
- The plan isn't about prediction; it's about identifying and \*\*reacting to the actual mechanics\*\* behind price action.
- I reference videos like OptionsDepth101 because they demystify these flows, showing how analysis tools (like OptionsDepth) help track and interpret dealer behavior.

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\*\*Bottom Line:\*\*

My Zero DTE roadmap is designed to help you see beneath the surface of intraday price action, using professional-grade analytics and practical models to spot, react to, and leverage the dynamic forces created by market maker delta hedging. Whether reading my Substack or executing trades, you'll have the tools and context to trade with greater edge and confidence in the ultra-responsive SPX environment.

[youtu.be/-9EqMXXa0ms](https://youtu.be/-9EqMXXa0ms)



Watch on



## What you get: Quick Start — \$SPX Daily Plan / Road Map 0DTE

### Daily Workflow

1. Pre-market → Read #spx-game-plan (0DTE Road Map: ICs, scalps).
2. Midday → Check #intraday-trades-od-position-cha for changes.

3. EOD → Review levels that played out.
4. Sun/Wed → Attend screen shares (tier-dependent).

## Key Channels

- **#spx-game-plan** – Daily 0DTE plan w/ roadmap & IF/THEN.
- **#intraday-trades-od-position-cha** – Live intraday changes.
- **#trade-structures** – Diagonals, 1-1-2s, calendars, multi-day setups.
- **#trading-view** – Daily TradingView string (no need to open Substack).
- **#general** – Open chat + occasional cheat card drop.
- **#resources / #quick-reference** – PDFs, pinned posts, level charts.
- **#doc-spx-trades** – My main SPX trades.
- **#other-trades** – Non-SPX setups.
- **#premium** – Premium-only prep/follow-up.
- **#musings-ideas-concepts-etc / #random-charts-ideas-quantuition** – Macro thoughts, experimental charts.

## Live Session Access



- **Paid Tier** – Sunday 7:30–8:30 PM ET (YouTube unlisted).
- **Premium Tier** – Sunday & Wednesday 7:30–8:30 PM ET (Discord voice + YouTube).

## Cheat Cards

- **General** → Quick reference in #general.
- **Full** → Inside paid Substack email.

## Note

- layout is evolving — feedback welcome.
- Some topics (like musings) may appear in more than one place.

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